Early Access to Wages

Pilot Exploration & Proposal

February 2026 • Kaung, Lumber Product Team

Who Is This For?

Target Customer

Small-to-mid specialty contractors
(50–300 employees)

- Hourly field workers on weekly/bi-weekly pay
- Project-based work with variable hours

Why this segment:
- Clean time/attendance data already flowing
- Motivated to differentiate on benefits

The Problem EWA Solves

For workers:
Construction workers face timing mismatches between when they earn and when bills hit.

Without EWA, they turn to:
- Payday loans (300%+ APR)
- Credit card cash advances
- Bank overdraft fees ($35/incident)

For employers:
Financial stress = distraction, absenteeism, turnover

Why Would They Use It?

Core Value Proposition

Let workers access wages they've already earned — before payday — at lower cost than alternatives, with zero risk to employer cash flow.

For Employees

- Access up to 50% of earned wages
- No credit check required
- Cover emergencies without debt

For Employers

- Differentiate in tight labor market
- Reduce turnover (up to 50%)
- No impact to cash flow
- Workers more engaged on site

For Lumber

- Deepen platform stickiness
- New revenue stream (fees)
- Competitive moat vs. legacy payroll

The Market Opportunity

4 in 5

U.S. employers already offer some form of EWA (ADP, 2022)

$32B

in EWA transactions by 10M+ workers (CFPB, 2022)

How Would We Launch the Pilot?

Initial Launch Segment

5–10 existing Lumber customers

Selection criteria:
- 50–150 hourly field workers
- Clean time tracking data (no manual overrides)
- Weekly or bi-weekly pay cycles
- Strong relationship with Lumber CS team

Adoption

Employer activation:
- One-click enable in Lumber admin
- Co-marketing: "Show workers you care"

Worker adoption:
- In-app push notification on first payday
- SMS enrollment link with clear value prop

Building the First Version

✓ Include in V1

- Access up to 50% of earned wages
- ACH transfer (free, 1–2 day delivery)
- Real-time earned balance visibility
- Basic admin dashboard for employers

✗ Defer to V2+

- Prepaid card / digital wallet disbursement
- Multi-state compliance automation
- Deep analytics for employers
- API for third-party integrations

Dependencies & Shortcuts

Systems: Lumber time tracking API (hours worked), Payroll (pay rates, deductions), ACH/banking partner (fund disbursement)
Shortcuts: Partner with existing EWA provider (e.g., DailyPay, Payactiv) rather than build from scratch(White-label)

How We Measure Success

Key Pilot Metrics		
Adoption Rate	>30% of eligible workers enroll within 60 days	*Validates demand*
Usage Frequency	2–3 withdrawals per worker per month	*Healthy usage*
Employer NPS	>50 NPS among pilot employers	*Validates employer value prop*
Worker Retention	10%+ improvement in 90-day retention	*Core business case for employers*
Transaction Success	>99% disbursement success rate	*Reliability*

Pilot Success = Hit 3 of 5 metrics → Greenlight broader rollout

Risks

Regulatory Uncertainty

CFPB may reclassify EWA as 'credit' requiring lending licenses. State laws vary widely.

Mitigation: Start in EWA-friendly states; monitor proposed rules; partner with compliant provider

Low Worker Adoption

Workers may not trust a new benefit or lack smartphones/bank accounts.

Mitigation: Test messaging; offer prepaid card option in V2; measure why workers don't enroll

Employer Backlash

Employers may see EWA as encouraging poor financial habits.

Mitigation: Frame as retention tool; share case studies; position alongside financial wellness

Operational Risk

Failed disbursements or incorrect deductions damage trust.

Mitigation: Partner with proven EWA provider; start small; manual QA on first 100 transactions

Improvements

1. **Demand validation**

   Do workers actually want this, or do employers just think they do? Survey workers before and during pilot.

2. **Usage patterns**

   How often do workers withdraw? Is there a 'healthy' usage pattern vs. over-reliance? Track withdrawal frequency and amounts.

3. **Retention impact**

   Does EWA access actually reduce turnover, or is it just correlation? Compare pilot vs. control groups.

4. **Revenue model**

   Will employers pay a per-employee fee? Will workers pay for instant transfer? Test pricing sensitivity.

Recommendation

Proceed with a limited pilot

EWA aligns with Lumber's mission to support construction workforces. A small, controlled pilot lets us validate assumptions before committing significant resources.

Proposed Next Steps

1. Identify 3 EWA provider partners for evaluation
2. Survey 5 existing customers on interest + concerns (2 weeks)
3. Draft regulatory compliance checklist with legal (1 week)
4. Build pilot business case with finance (1 week)

Key Assumptions: Partner-based build vs. in-house • Pilot in EWA-friendly states • No employer cash flow impact